

Capacity Modeling: Precision Strategies and Configuration Guide

This section provides the CA Firm Capacity Planner model and supporting tutorial videos. The tools are designed as scenario models—not analytical reports—to help firms optimize team structure, price jobs, and transition into advisory services.

This material is for Firm/Practice owners only and is of an intermediate complexity level.

1. Base Capacity & Job Estimation Model

This template allows you to define baseline assumptions about how long jobs take, who performs them, and the resulting costs based on team size and hourly rates.

- **Benefits:** It dynamically calculates job costs and highlights skill deficiencies by linking staff levels (e.g., Junior, Senior, Equity Partner) to specific tasks and charge-out rates. It also allows you to align past known fees with projected assumptions to ground your model in reality.
- **How it helps the business owner:** Owners gain instant visibility into whether they have enough people to complete the work. It clearly reveals when highly-paid senior staff are forced to do lower-level tasks because of a deficiency in junior team members.
- **How it helps the advisor:** Advisors can use this to visually map out different fee ranges and client service categories (e.g., Growth, Protect, Transition), making it easier to discuss optimal team deployment.
- **Who it is suitable for:** Any professional service firm looking to understand their true baseline capacity, validate chargeable targets, or diagnose why staff feel overworked despite appearing to have enough overall time.

2. Scenario Versioning & Management Model

Rather than juggling multiple spreadsheet files, this model utilizes native version history to track different organizational states (e.g., "Base Scenario" vs. "Under a thousand clients").

- **Benefits:** You can save a scenario, alter specific variables (highlighted in blue cells), and effortlessly restore previous versions to compare outcomes. It also features customizable views, allowing you to hide unused partner rows or specific dashboard tabs if you have a smaller partnership.
- **How it helps the business owner:** It provides a sandbox to safely test structural changes without losing original data. Owners can adjust the number of periods for mid-year tracking to ensure volatility graphs and capacity ranges calculate correctly.
- **How it helps the advisor:** It allows for highly focused data entry by using a "filter range" so each partner only sees their specific clients while inputting fees.
- **Who it is suitable for:** Firms with varying partnership sizes (under six partners) who want to aggressively model "what-if" scenarios without creating disorganized file clusters.

3. Client Trimming & Advisory Transition Model

This scenario answers the age-old question: *"We want to get into advisory, but we don't have the time."* It models the financial and capacity impact of dropping a specific lower-tier percentage of the client base.

- **Benefits:** It calculates exactly how many clients you need to drop (e.g., the bottom 10%), the precise fee loss, and the exact amount of hours freed up. It then allows you to reallocate those recovered hours into higher-margin advisory roles.
- **How it helps the business owner:** It transitions "dropping clients" from a scary concept to a mathematically sound business strategy. Owners can see that reallocating time can actually increase total available hours, reduce team stress, and significantly boost bottom-line profits.
- **How it helps the advisor:** It frames the advisory transition around three pillars: *Capacity* (freed up by dropping clients), *Capability* (having the templates and skills ready), and *Opportunity* (identifying the larger clients willing to engage).
- **Who it is suitable for:** Firms that are trapped in a high-volume compliance cycle, experiencing margin erosion due to senior staff doing junior work, and looking to pivot to higher-value advisory services.

Step-by-Step Methods for Practical Application

Step 1: Configure Your Base Firm Layout Start by hiding any unused partner rows and unnecessary dashboards if your firm has fewer than six partners. Use the filter range to allow individual partners to cleanly input their client fee data.

Step 2: Establish Realistic Job Assumptions Determine how many hours an average, small, and large job takes, and select which team member performs each task from a dropdown menu. If your family group clients distort compliance statistics, override the total client count with the "actual number of returns filed" to ensure compliance time is accurate.

Step 3: Baseline Your Revenue Enter your past known fees and apply seasonal adjustments. Remember that this model assumes "perfect world" scenarios, so adding seasonal adjustments brings the adjusted capacity into a realistic ballpark. If you are mid-year, adjust the period tracker (e.g., change to 10 periods) to keep your actual vs. planned tracking accurate.

Step 4: Identify Skill Deficiencies Review the skill levels tab. Look for bottlenecks where upper-level team members have excess capacity, but lower-level tiers do not. This is the primary indicator that

highly-paid staff are stepping down to do lower-rate jobs, which halves your effective charge-out rate.

Step 5: Model an Advisory Transition Scenario Save your current state using "File > Version History". Go to the client trimming section and select a percentage of bottom-tier clients to drop. Reallocate the newly available hours by adjusting the advisory percentage for partners, associates, and senior managers. Compare the resulting hours and potential fee increases against your base version.

Common Q&A

Q1: Is the Capacity Planner going to give me perfectly accurate historical reports?

No, this is specifically a *scenario model*, not an analytical report. While fee spread data is accurate, the core value lies in projecting assumptions and modeling future "what-if" scenarios.

Q2: What if we have multiple entities inside a single family group?

Because the model calculates based on total client count, multi-entity groups can skew the numbers. You can correct this by saving a new scenario and manually overriding the client count to reflect your *actual number of returns filed*.

Q3: We have a lot of partners and staff adding data; how do we keep it organized?

Use the filter range on the fee spread input page. A partner can clear the filter, select themselves, input only their data without scrolling through the whole firm, and then select all when finished.

Q4: Do I need to make a copy of the spreadsheet every time I want to test a new business model?

No. You can run everything in one place using the native Version History. Simply name your version (e.g., "Base Scenario" or "Trimmed Base"), make your changes (highlighted in blue), and use the restore function to easily toggle between different models.

Q5: Why is my senior team so stressed when the planner says we have enough total hours?

This usually indicates an imbalance in your skill levels. If you lack lower-level team members, upper-level staff must abandon high-value work to fill the gap, creating stress and destroying your charge-out efficiency.

Q6: We want to do advisory work, but we simply don't have the time. How does this tool help?

You can use the model to calculate the exact impact of dropping a specific percentage of your smallest clients. The tool will show you exactly how many hours are freed up, which you can then computationally reallocate to high-margin advisory work, often resulting in higher profits with fewer total working hours.

Source Reference Table

Template Name	Core Focus & Contents
Capacity Tips & Tricks	Explains the foundational setup of the capacity model, including overriding client numbers with actual returns, assigning roles to specific job tasks, and using past fee baselines with seasonal adjustments.
Capacity Tutorial 23	Demonstrates UI management (hiding rows for small firms, partner data filtering), custom service categories, job cost estimation by skill level, and leveraging Version History to compare different strategic scenarios.
Drop Clients Scenario	Focuses on executing an advisory transition by modeling the deliberate dropping of lower-tier clients. Evaluates the financial trade-offs, reallocation of staff time, and highlights the trifecta of capability, capacity, and opportunity.
Org.1.Practice Capacity Planner	This model allows for a series of calculations such as a client fee spread, available advisory hours, sales activity logistics, required compliance hours, perfect world revenue and wages to name a few.